



Association of Mutual Funds in India

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November 13, 2024

To,

All AMFI Members

Dear Members,

AMFI Best Practices Guidelines Circular No. 117 / 2024-25

Prudential norms for Liquidity Risk Management for Open-ended Debt Schemes

(Issued in partial modification of AMFI Best Practices Guidelines Circular No.93, 93a & 93b dated 24-Jul-2021, 03- Dec-2021 and 15-Jun-2023 respectively regarding
“Prudential norms for Liquidity Risk Management for Open-ended Debt Schemes”)

As Members would be aware, in June 2021 SEBI, vide its circular SEBI/H0/IMD/IMD-11 DOF3/P/CIR/ 20211583 dated June 25, 2021, had advised AMFI to prescribe, a suitable framework for liquidity risk management (LRM) for open ended debt schemes (except Overnight Fund, Gilt Fund and Gilt Fund with 10-year constant duration), in consultation with SEBI. *The said circular stipulates that the said framework prescribed by AMFI shall be adopted by all AMCs.*

Pursuant to the above SEBI circular, AMFI has issued AMFI Best Practices Guidelines Circular No.93 dated 24-Jul-2021 on ‘Prudential Norms for Liquidity Risk Management (LRM) of Open-ended Debt Schemes’ read with addendum thereto no. 93a & 93b dated 03-Dec-2021 and 15-Jun-2023 respectively.

The key elements of LRM framework are –

- (i) Liquidity ratios to address investor behaviour based on the size of their investments;
- (ii) Back-testing of liquidity ratios; and
- (iii) Additional Parameters to be monitored by AMCs (for the OEDS including Liquid Funds) which are to be mandatorily adopted by all AMCs and providing liquidity for other known variables as a best practice.

The Liquidity Ratios covered in LRM framework are based on 30-day Redemption at Risk (LR-RaR) (to represent the likely outflows at a given confidence interval) and the concept of Conditional Redemption at Risk (CRaR)) to represent the behaviour of the tail at the given confidence interval. Eligible Assets for LR-RaR include Cash, Government Securities, T-bills and Repo on Government Securities and should be more than or equal to Weighted average AUM outflow at 95 percentile RaR level.



AMFI had recently received a request from one of the AMCs to include the following additional instruments while calculating the Liquid Assets i.e. LR-RaR –

- a) Net Current Assets (Cash receivable from Exchange/ CCIL)
- b) Triparty Repo Settlement (TREPS) as currently definition of LR-RAR only includes Repo on Government Securities

The matter was examined by AMFI Valuation Committee (Val Comm), and the committee noted that currently when a scheme sells, say, ₹100 crore (FV) of any security on T+0 basis, the cash realised/ parked in TREPS/ G-SEC Repo is included in the computation of liquidity ratio (LR-RaR). However, when the scheme sells the same asset on T+N basis, the asset is removed from the portfolio, but the cash to be received against this sell trade on the settlement date becomes part of net receivables on the trade date. Val Comm is of the view that the solution for the above challenge is to include this cash receivable, which is part of scheme's *Net Receivable*, to be included for the computation of liquidity ratio (LR-RaR). (Securities sold on T+N basis would only form part of net receivables).

Accordingly, Val Comm has recommended a minor change in the existing AMFI Best Practices Guidelines to include Net Receivables as part of liquidity ratios, as highlighted in the table below:

Changes made in	Existing Provision	Revised Provision
Annexure 1 Liquidity ratios to address investor behaviour based on the size of their investments	Liquidity Ratio based on 30-day RaR (LR-RaR) Eligible Assets for LR-RaR: Eligible Assets for LR-RaR include Cash, Government Securities, T-bills and Repo on Government Securities and should be more than or equal to Weighted average AUM outflow at 95 percentile RaR level computed as under:	Liquidity Ratio based on 30-day RaR (LR-RaR) Eligible Assets for LR-RaR: Eligible Assets for LR-RaR include Cash, net settlement receivables , Government Securities, T-bills and Repo on Government Securities and should be more than or equal to Weighted average AUM outflow at 95 percentile RaR level computed as under:
Changes made in	Current Provision	Proposed Change
Table No 2.	Asset category – Eligible Assets for LR-RAR (Cash, Government Securities, T-bills and Repo on Government Securities) Weight – 100%	Asset category – Eligible Assets for LR-RAR (Cash, net settlement receivables , Government Securities, T-bills and Repo on Government Securities) Weight – 100%

The above recommendations of AMFI Valuation Committee have been duly endorsed by the Board of AMFI and also noted by SEBI.



In the above context, SEBI has advised that in case of trade cancellations subsequent to transaction date, the AMCs shall:

- (i) Revise the liquidity ratio downwards for days before such cancellation date including the transaction date.
- (ii) In case of decrease in liquidity ratios below threshold, the reasons for trade cancellation shall be recorded.

The framework for LRM for Open-ended Debt Schemes, finalised in consultation with SEBI is appended hereto in **Annexure – 1**, which all AMCs are mandatorily required to follow/ adopt, except for the recommended 'Best practices' specified at the end of Annexure 1, which may be adopted by AMCs at their discretion. Certain clarifications w.r.t. Guidelines contained in Annexure -1 have been provided in Annexure -2 hereto.

This circular replaces / has been issued in lieu of AMFI Best Practices Guidelines Circulars No.93, 93a & 93b dated 24-Jul-2021, 03- Dec-2021 and 15-Jun-2023 respectively on the captioned subject.

Members are requested to confirm having noted the contents of this circular for due compliance and also to place this circular before their Trustees for information at the next meeting of the Trustees.

With best regards,

A handwritten signature in blue ink, appearing to read 'B. M. Kini', is written over the typed name.

B. M. Kini
Dy. Chief Executive



Annexure 1

Framework for Liquidity Risk Management for debt schemes of Mutual Funds

1. The key elements of liquidity risk management framework are as under:

(i) Mandatory

- a. Liquidity ratios to address investor behaviour based on the size of their investments
- b. Back-testing of liquidity ratios
- c. Additional Parameters to be monitored by AMCs (for the OEDS including Liquid Funds)

(ii) Recommended Best Practices - Providing liquidity for other known variables

(i) MANDATORY

1. All open-ended debt schemes (except Overnight Fund, Gilt Fund and Gilt Fund with 10-year constant duration) shall follow the requirements indicated as 'Mandatory' under the liquidity risk management framework stipulated hereunder.
2. Further, AMCs are also advised to ensure that:
 - a. all open-ended debt schemes (OEDS) (except Overnight Fund, Liquid Funds, Gilt Fund and Gilt Fund with 10-year constant duration) shall continue to hold at least 10% of their net assets in liquid assets in terms of SEBI circular no. SEBI/HO/IMD/DF3/CIR/P/2020/229 dated November 6, 2020 or as prescribed at Annexure 1, whichever is higher; and
 - b. Liquid Funds shall comply with requirement of maintaining liquid assets at 20% as per para 1 of SEBI circular SEBI/HO/IMD/DF2/CIR/P/2019/101 dated September 20, 2019 or as prescribed at Annexure 1, whichever is higher.
 - c. Further, in accordance with para 3(b) of SEBI circular SEBI/HO/IMD/IMD-II/DOF3/P/CIR/2021/583 dated June 25, 2021, it is clarified that Mutual Funds shall ensure that for asset allocation limits (applicable for Banking and PSU Bond Fund, Floater Fund, Credit Risk Fund and Corporate Bond Funds scheme categories in terms of SEBI circular on 'Categorization and Rationalization of Mutual Fund Schemes'), the base shall be considered as net assets excluding the extent of minimum stipulated eligible assets i.e. higher of 10% of net assets or LR-CRaR (Liquidity ratio based on 30-day Conditional Redemption at Risk).
3. The confirmation on compliance of this circular shall be reported to SEBI in the Compliance Test Report (CTR).



a. **Liquidity ratios to address investor behaviour based on the size of their investments**

I. Liquidity ratios: Eligible Assets / Scheme's Potential Outflows (Liability)

Two type of liquid assets shall be maintained by OEDS including Liquid Funds,

- one based on the Redemption at Risk (RaR) concept (to represent the likely outflows at a given confidence interval) and
- the other based on the concept of Conditional Redemption at Risk (CRaR)) (to represent the behaviour of the tail at the given confidence interval).

The liquid assets maintained by OEDS including Liquid Fund based on the concept of RaR shall be subset of the liquid assets maintained by OEDS including liquid fund based on the concept of CRaR.

The process for computation of the liquid assets to be maintained is explained below:

i. Liquidity Ratio based on 30-day RaR (LR-RaR)

• **Eligible Assets for LR-RaR:**

Eligible Assets for LR-RaR include Cash, net settlement receivables, Government Securities, T-bills and Repo on Government Securities and should be more than or equal to Weighted average AUM outflow at 95 percentile RaR level computed as under:

Potential Outflows:

The Weighted Average AUM Outflow will be computed by multiplying the AUMs under each of the four categories of investors (viz. investors falling in following four categories i.e. (a) less than or equal to ₹ 1 crore, (b) beyond ₹ 1 crore and upto ₹ 5 crore, (c) beyond ₹ 5 crore and upto ₹ 100 crore, and (d) beyond ₹100 crore, on the basis of PAN of primary investor) with the a factor representing the potential outflow from the respective categories at 95 percentile confidence level. The factors for the respective categories across the various types of funds are as tabulated below:

Table 1				
Scheme type	Quantum of investment by single investor (PAN level) (₹ cr) as per investor category			
	0 - 1	>1 - 5	>5 - 100	>100
Low duration fund	5%	9%	15%	23%
Short duration fund	5%	8%	11%	14%
Medium to Long Duration fund	8%	10%	12%	21%
Credit risk fund	5%	8%	9%	40%
Liquid Fund	5%	10%	14%	29%

ii. Liquidity ratio based on 30-day Conditional Redemption at Risk (LR-CRaR)

- **Eligible Assets for LR-CRaR** (computed below) should be equal to or more than Weighted average AUM outflow at 95 percentile Conditional redemption at Risk (CRaR) level.



Eligible assets qualifying for liquidity under LR-CRaR include the following:

Table 2		
Asset Category	Weightage	Rationale
Eligible Assets for LR-RAR (Cash, net settlement receivables, Government Securities, T-bills and Repo on Government Securities)	100%	
Listed AAA rated debt securities (including A1+ with lowest long term rating of AAA) without bespoke structures/structured obligations, credit enhancements or embedded options or any other structure / feature which increase the liquidity risk of the instrument**	As per the regulatory haircut for repo transactions as prescribed by RBI from time to time.	Incorporating the clarification issued by AMFI on 03-Dec-2021
For Liquid Fund scheme category, 100% securities held by the scheme which have credit rating of AAA (listed) or A1+ with lowest long term rating of AAA, having residual maturity of less than or equal to 30 days and no adverse news or rumors in the mainstream media about the said security**	100%	Listed AAA rated securities are already permitted in non liquid schemes

***With regard to adverse news or rumours in the mainstream media, AMC's are expected to conduct due diligence at the time of investment and keep a regular vigil on an ongoing basis for their investments. In case of adverse news or rumours within past 90 days from the date of consideration, the instruments shall be removed from the above asset category.*

Note: The aspect of eligibility of securities with credit rating of A1 + subject to its issuer having lowest long-term rating of AAA only, in the above asset category shall be reviewed in consultation with AMFI Valuation Committee periodically/annually.

As regards repo on corporate debt securities where settlement is guaranteed by Clearing Corporation, SEBI has, vide its letter no. SEBI/H0/1MD/IMD-POD-2/P/OW/2023/23603/1 dated June 8, 2023, has advised that such exposure with residual maturity upto 30 days may be considered for the purpose of LR-CRaR (for both Liquid and other schemes).

Potential Outflows:

- The Weighted Average AUM Outflow will be computed by multiplying the AUMs under the four categories of investors with the respective factors for those categories at 95 percent confidence level.
- The percentage of outflows for four investor categories, based on 30-days 95 percent confidence level for the past 11 years' industry-wide data, are as follows:



Table 3				
Scheme type	Quantum of investment by single investor (PAN level) (₹. cr) as per investor category			
	0 – 1	>1 – 5	>5 – 100	>100
Low duration fund	8%	15%	23%	37%
Short duration fund	8%	12%	15%	19%
Medium to Long Duration fund	10%	12%	19%	56%
Credit risk fund	11%	17%	20%	69%
Liquid Fund	6%	16%	24%	43%

The above threshold percentages have been computed for five scheme categories in terms of SEBI circular on ‘Categorization and Rationalization of Mutual Fund Schemes’ and are extended by mapping the remaining eight scheme categories to one of the above 5 scheme categories as under:

Table 4	
Scheme categories for which percentages are computed*	Mapped Schemes
Liquid Fund	Liquid Fund
Low Duration Fund	• Money Market Fund • Ultra Short Duration Fund • Low Duration Fund
Short Duration fund	• Corporate Bond Fund • Banking and PSU Bond Fund • Floater Fund • Short Duration Fund
Medium to Long Duration Fund	• Medium Duration Fund • Dynamic Bond Fund • Long Duration Fund • Medium to Long Duration Fund
Credit Risk Fund	Credit Risk Fund

Each AMC shall use these tables to compute its liquidity requirements on a monthly rest (15th of every month). The AMC should ensure that these required liquidity thresholds are maintained on a daily basis.

AMFI Val Comm or a Working Group under the aegis of AMFI Val Comm shall calculate the aforesaid percentages on a rolling basis considering the past 10 years for the five categories of OEDS including Liquid Fund (aggregated at industry level) to arrive at the 30-day potential outflows at 95 percent confidence level.



Additionally, going forward, each AMC shall, on an annual basis, collate the data applicable for the following one year in order to compute the outflow (as specified at table 1 and 3 above) for the scheme categories specified in Table 4 above.

Illustration : Consider a Short Duration fund, for which the LR-RaR and LR-CRaR shall be as under:

Table 5				
Scheme type	Quantum of investment by single investor (PAN level) (₹ cr) as per investor category			
	0 - 1	>1 - 5	>5 - 100	>100
Short Duration fund (LR-RAR)	5%	8%	11%	14%
Short Duration fund (LR-CRaR)	8%	12%	15%	19%
Eligible Assets for LR-CRaR other than LR-RaR Eligible Assets (i.e. difference of Eligible Assets of LR-CRaR and LR-RaR)**	3%	4%	4%	5%

**** LR-RaR is a subset of LR-CRaR**

For the said Short Duration fund having AUM of ₹ 1,170 crores with investment as follows:

Table 6					
Scheme type	Quantum of investment by single investor (PAN level) (₹ cr)				Total (₹ cr)
Investor category →	0 - 1	>1 - 5	>5 - 100	>100	
Short Duration fund	190	60	270	650	1,170

The percentage of eligible assets to be held by the said scheme is as under:

Table 7	
Eligible assets	Calculation of the assets
LR-RaR	$(190 \times 5\% + 60 \times 8\% + 270 \times 11\% + 650 \times 14\%) / 1170$ = 11.54%
LR-CRaR (including LR-RaR)	$(190 \times 8\% + 60 \times 12\% + 270 \times 15\% + 650 \times 19\%) / 1170$ = 15.93%

Since LR-RaR figure is above 10%, the calculated value (i.e. 11.54%) is considered for eligible assets for LR-RaR. Further, the scheme shall hold at least 15.93% of eligible assets for LR-CRaR.

If a scheme is not holding 11.54% of assets under LR-RaR and 15.93% of assets under LR-CRaR (which includes LR-RaR), it shall ensure that the LR-RaR and LR-CRaR ratios are restored to 100% of the required level by ensuring that the net inflows (through net subscription/accruals/ maturity & sale proceeds) into the scheme are used for restoring the ratios before making any new purchases outside 'Eligible Assets' specified above.



b. **Back-testing of liquidity ratios**

Back-testing by AMC's shall involve capturing actual outflow data (in %) for each scheme on a rolling 30-day basis for each day and comparing the same with the predicted outflow using the above-mentioned methodology for that 30-day period. Thereafter, cases of breach of the back-test would be analysed (for instance, if the LR-RaR and LR-CRaR computed for a scheme on January 15, 2021 was 10% and 15% respectively, then, as a back-test, on February 15, 2021 the AMC can compute what has been the actual % movement in AUM from January 15, 2021 to February 15, 2021 and ascertain if the drop in AUM has exceeded the 10% or 15% threshold).

In case of a large number of back-test failures, the Trustee Board shall recommend a higher buffer to be applied to minimize the back-test failures in future. Accordingly, a back-test of the liquidity ratios should be presented to the Trustee Board on an annual basis by the AMC and the decision on liquidity buffers based on such review be taken during such review.

The schemes shall maintain the above two ratios at 100% of the requirement on a daily basis. However, to meet redemptions, AMC's may have to periodically dip into their liquid assets which may result in the liquidity ratio dropping below 100% on those days. To factor in such scenarios, the scheme shall ensure that the ratio is restored to 100% of the requirement by ensuring the net inflows (through net subscription/accruals/ maturity & sale proceeds) into the scheme are used for restoring the ratios before making new purchases outside 'Eligible Assets' specified above. In case the ratio remains below 100% for more than 15 consecutive days, then, this information shall be highlighted to Trustees till such time the said ratio is not restored to 100% of the requirement on weekly basis.

c. **Additional Parameters to be monitored by AMC's for aforementioned OEDS**

Certain additional parameters such as concentration of an investor group / distributor, exit load features, taxation dynamics, shall be monitored by the AMC at scheme level. Details of few such parameters are stipulated below:

i. *Concentration by investor group:*

For uniformity of definition of concentration of investor group across mutual funds, the definition of an investor group on the asset side and liability side shall be formulated by a neutral agency to be appointed by AMFI. To begin with, the monitoring of concentration of investor group shall be carried out by AMC's at scheme level only for group of investors with investments > ₹100 cr.

The AMC's should monitor investments of Top 1, 5 and 10 investor groups as % of total AUM of each scheme.

To ensure that tracking of this metric commences, an additional LR-RaR of 25 bps be maintained in case the AUM of any one or more of the top 1, 5 or 10 investor groups exceeds 25%, 50% and 70% respectively at scheme level. The AMC's should report the same to its Investment Committee on a quarterly basis. Based on which, the Investment Committee may decide holding of additional liquid assets in case high concentration is observed in any scheme, and report it to their Trustees annually.



ii. *Concentration by distributors:*

The AMC's shall monitor concentrations by Top 5, 10 and 20 distributors. An additional LR-RaR of 25 bps shall be maintained in case the AUM contributed by any one or more of the top 5, 10 or 20 distributors exceeds 30%, 50% and 70% respectively at scheme level. The AMC's shall report the same to its Investment Committee on a quarterly basis. Based on which, the Investment Committee may decide holding of additional liquid assets in case high concentration is observed in any scheme and report it to their respective Trustees annually.

iii. *Other parameters to be monitored*

A set of ratios shall be tracked for OEDS of AMC's:

- Eligible assets for LR-CRaR / Quantum of AUM outside exit load
- Eligible assets for LR-CRAR / Quantum of AUM beyond three years tax window (i.e. long-term capital gains)

The above ratios shall be tracked by the schemes and reported to the Investment Committee on quarterly basis so that possible significant outflow is within the knowledge of the Investment Committee.

(ii) RECOMMENDED BEST PRACTICES

1. Liquidity for other known variables

The measures discussed above try to anticipate client behaviour by drawing on past data. However, in addition to the above, there are various known patterns of specific investors / investor types that a Fund Manager may be aware of based on redemption requests received in advance / interactions with the investors / having observed investment patterns of large investors. The Fund Managers should factor in various aspects (such as known redemption pattern around financial year end or subscription around start of financial year, pattern of specific investors/investor groups) while provisioning for liquid assets over and above the framework specified above.

2. The following shall be reviewed by AMFI Val Comm or a Working Group under the aegis of AMFI Val Comm at the following intervals at the beginning of the respective financial year:

- LR-RAR and LR-CRAR percentages specified at table 1 and table 3 above shall be reviewed annually based on past 10 years' industry data on rolling basis.
- Categorization of investors specified in table 1 and 3 above (i.e. (a) less than or equal to ₹1 crore, (b) beyond ₹1 crore and upto ₹5 crore, (c) beyond ₹5 crore and upto ₹100 crore, and (d) beyond ₹100 crore) shall be reviewed once in three years.



Annexure – 2

Clarifications w.r.t. AMFI Best Practices Guidelines on Prudential norms for LRM for Open-ended Debt Schemes

Sr	Paragraph	Ref	Clarification/Amendment
1.	Eligible assets for LR-CRaR	a.I.ii Table 2 (Row 2)	Row 2 shall include A1+ rated securities / instruments with lowest long-term rating of AAA [AMFI shall define the qualitative and quantitative aspects to determine adverse news and also appoint a third-party entity to source adverse news/rumours which can be uniformly followed by all AMC's. Till the time AMFI formulates the methodology and appoints a third party, AMC shall track the same at their end.]
2.	Computation of liquidity requirements: Each AMC will use these tables to compute its liquidity requirements on a monthly rest (15th of every month).	a.I.ii	To reset the liquidity requirements on 15th of every month, AMC's shall consider the quantum of investment by single investor (PAN level) (₹ cr), as per RTA records, as on the 12th of every month or the immediate previous business day if 12th is a non-business day. This will provide sufficient time to compute the liquidity requirements, make modifications to investment rules in the order management system, and rebalance the portfolio.
3..	Back-testing of liquidity ratios	b	The word “outflow” implies net outflow (i.e. change in AUM) across the best practice circular. Back-testing shall be based on net outflow (i.e. change in AUM) for each scheme, as per RTA records, during the last month immediately preceding the date of reset of liquidity ratios. Net outflow, if any, as a % of the AuM at the beginning of last reset date shall be compared with the liquidity ratios predicted as per the model. For e.g. The liquidity requirement computed based on February 12, 2022 data, shall be used to check whether the net outflow (if any) during the period from January 13, 2022 to February 12, 2022 exceeded the LRaR or LCRaR ratios. There shall be twelve such observations during a year which shall be reviewed by the Trustees annually. In case the instances of failures i.e. actual net outflow% exceeding the liquidity ratios on more than 6 instances, Trustees shall recommend a higher buffer in order to minimise such outages.



Sr	Paragraph	Ref	Clarification/Amendment
4.	Additional Parameters to be monitored by AMCs for aforementioned OEDS - Concentration by investor group	c.i	Till the time AMFI formulates the definition of investor groups, AMC shall group all investors (based on PAN of the First holder their definition of investor groups. This information shall be determined based on RTA records as on the 12 th of every month or the immediately preceding business day, if 12 th is a non-business day.
5.	Additional Parameters to be monitored by AMCs for aforementioned OEDS - Concentration by distributors	c.i	Multiple ARN codes under the same entity (based on PAN) shall be clubbed for this purpose.

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